

25STCV05536 25STCV05536

County: los-angeles

Division: Civil Law and Motion

Department: 512

Hearing date: 2026-09-21

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Case Number: 25STCV05536 Hearing Date: September 21, 2026 Dept: 512

Case No.

25STCV05536

Case Name:

Varela, et al. v.

Banuelos Martinez

Hearing Date:

September 21, 2026

Defaulting defendant(s)

RICARDO BANUELOS MARTINEZ

TENTATIVE RULING:

On February 26, 2025,

Plaintiffs Anthony David Varela and Gabriela Ruby Vergel ("Plaintiffs") filed the instant action against Defendant Ricardo Banuelos Martinez ("Defendant") and Does 1-10, alleging seven causes of action based on Plaintiffs' tenancy in Defendant's property. (Compl., pp. 1-2.)

On April 1, 2025, Defendant,

proceeding pro se, filed an Answer.

On May 22, 2026, the Court granted Plaintiff's Motion for Terminating Sanctions and struck Defendant's Answer filed on April 1, 2025. (5/22/26 Order.)

On July 9, 2026, default was entered against Defendant.

On July 15, 2026, Does 1-10 were dismissed.

Plaintiffs seek judgment against Defendant in the amount of \$1,584,840, consisting of \$784,905 in damages and \$49,935.00 in attorney's fees.

The Court finds that trebled rent disgorgement (\$174,300) is not properly demanded in the Complaint. The Complaint pleads disgorgement of all rent illegally demanded "in an amount to be proven at trial" without listing a specific dollar figure. (See *Dhawan v. Biring* (2015) 241 Cal. App. 4th 963.) Thus, the requested trebled rent disgorgement damages will not be awarded.

Further, the Court finds that punitive damages are not substantiated. While Plaintiff attempts to provide financial documents, Plaintiff has not provided adequate and substantiated evidence in support of assets with liabilities. (See *Adams v. Murakami* (1991) 54 Cal. 3d 105; also see *Baxter v. Peterson* (2007) 150 Cal. App. 4th 673, multiple properties with estimated values could not sustain an award where "the record ...[was] silent with respect to ...liabilities."; *Lara v. Cadag* (1993) 13 Cal.App.4th 1061, 1065 (meaningful evidence required and "evidence of earnings is not by itself sufficient."); *Green v. Laibco, LLC* (2011) 192 Cal.App.4th 441, 452-54 (evidence of a defendant's profit during the most recent twelve-month period, and evidence of defendant's positive net worth, constituted the required meaningful evidence of financial condition)). The Court is not satisfied with the Hermansen (attorney) declaration. This is not sufficient and qualified declaration (e.g. an assessor or an investigator) to meet Plaintiffs' burden of proof. Furthermore, the alleged absence of a recorded mortgage does not exclude unrecorded debts, judgments, or tax obligations. Thus, punitive damages will not be awarded based on insufficient evidence in support of assets with liabilities.

Further, the Court finds an attorney fee award that departs from the Local Rule schedule is warranted in this action given the unique circumstances of this case. However, Plaintiffs' attorney fees are duplicative and excessive considering the limited workup of the case. Thus, attorney fees will be permitted in the amount of \$35,000. (See *Cruz v. Ayromloo* (2007) 155 Cal.App.4th 1270; *Ketchum v. Moses* (2001) 24 Cal. 4th 1122.)

Further, the Court finds that the amount requested for pain and suffering is excessive based on the circumstances, nature of the case, and the declarations submitted. (See *Garcia v. Myllyla* (2019) 40 Cal. App. 5th 990.) Based thereon, this amount is reduced to \$100,000 per plaintiff.

Based on the foregoing, the Default Judgment Packet is GRANTED in the reduced amount of \$345,605, reflecting \$38,550 for relocation assistance, \$20,600 for utility penalty, \$51,455 for property damage/out of pocket expenses, \$100,000 for pain and suffering per plaintiff, and \$35,000 for attorney fees.

Moving party is to submit a proposed judgment reflecting the reduced amounts within 5 days of this order.